MARKET CANON

2026-03-18

Dexter Hadley, MD/PhD

Hadley Lab CANONIC

Abstract

INTEL about MAGIC. What MAGIC knows about its market.

Contents

1 Axioms 1
- 1.1 1. Total Addressable Market 1
- 1.2 2. Buyer Personas 1
- 1.3 3. Market Segmentation 2
- 1.4 4. Competitive Landscape 2
- 1.5 5. Market Timing 2

2 Constraints 2

1. Axioms

1.1 1. Total Addressable Market

Market sizing MUST be grounded in verifiable data with explicit methodology.

Example: MAGICs TAM by governed industry: Health IT ($300B global), Financial Compliance ($150B), Legal Tech ($50B), Government IT ($120B), Defense Compliance ($80B), Data Governance ($72B) = $772B aggregate. But MAGIC doesnt replace these it GOVERNS them. The governance layer TAM: Enterprise AI Governance ($50B emerging, growing 35% CAGR as AI regulation accelerates globally). EU AI Act (2024) creates mandatory compliance market. SAM (reachable within 3 years): $5B (US healthcare + financial governance). SOM (capturable Year 3): $100M ARR.

1.2 2. Buyer Personas

Every sales engagement MUST map to defined buyer personas with documented pain points and decision authority.

Example: Four primary personas across healthcare (MAGICs beachhead): - **CIO/CTO** Pain: AI governance liability, shadow AI sprawl, regulatory audit preparation. Budget: IT capital/opex. Decision: technical architecture, integration, security. - **CMIO/CMO** Pain: clinical decision support validation, evidence traceability, clinician adoption. Budget: clinical operations. Decision: clinical workflow fit, outcome measurement. - **Chief Compliance Officer** Pain: HIPAA audit findings, information blocking rules, AI bias documentation. Budget: compliance operations. Decision: regulatory coverage, audit trail completeness. - **CFO** Pain: reimbursement optimization, risk quantification, ROI justification. Budget: enterprise investment. Decision: financial model, payback period, TCO.

Multi-threaded sales MUST engage at least 2 personas simultaneously. Champion (typically CMIO or innovation officer) differs from economic buyer (CFO/CIO).

1.3 3. Market Segmentation

Segments MUST be defined by governance needs, not just industry classification.

Example: MAGIC segments by compliance tier: - **COMMUNITY (35)** Open source, individual developers, academic researchers. Free tier. Seed the ecosystem. - **BUSINESS (43)** Startups, SMBs. Self-serve. $0-$10K/year. Volume play. - **ENTERPRISE (63)** Healthcare systems, financial institutions, government agencies. $100K-$500K/year. Structural standards required (FHIR, SOX, FedRAMP). - **AGENT (127)** AI-native companies, LLM deployers, autonomous system operators. $250K-$1M/year. Full primitive composition (INTEL+CHAT+COIN). - **FULL (255)** Mission-critical governance. Defense, regulated medical devices, nuclear. $500K-$2M/year. All 8 dimensions enforced.

Healthcare is the beachhead because it requires ALL governance dimensions simultaneously (HIPAA + FDA + CMS + state law + clinical evidence + interoperability).

1.4 4. Competitive Landscape

Competitive positioning MUST cite specific differentiation, not generic claims.

Example: No direct competitor governs AI compliance at the dimensional level. Adjacent competitors: - **Tempus** ($6.1B valuation) oncology data platform. INTEL only. No governance layer. No compliance enforcement. Tempus sells data access; MAGIC governs the work. - **Epic/Cerner** EHR vendors with integrated CDS. Locked ecosystems. MAGIC is EHR-agnostic governance that works across systems. Epic cant govern non-Epic workflows. - **Constitutional AI (Anthropic)** AI safety through training. Runtime only. No audit trail. No compliance bits. No jurisdictional awareness. MAGIC governs at spec time, not just inference time. - **EU AI Act compliance tools** (emerging) checkbox compliance. MAGIC provides machine-enforceable governance, not just documentation. - **SOC 2/ISO 27001 auditors** point-in-time assessment. MAGIC provides continuous O(1) compliance verification.

MAGICs moat: 255-bit dimensional governance with O(1) validation. No one else has the math.

1.5 5. Market Timing

Market entry MUST align with regulatory catalysts that create mandatory compliance demand.

Example: Three regulatory catalysts creating urgency: - **EU AI Act** (2024, phased enforcement through 2027) high-risk AI systems require conformity assessment, risk management, human oversight, transparency. MAGIC provides machine-readable governance that maps to EU AI Act requirements. - **FDA AI/ML Action Plan** expanding Software as a Medical Device (SaMD) regulation. Total Product Lifecycle (TPLC) approach requires continuous monitoring. MAGICs TRANSCRIPT ledger provides exactly this. - **ONC Information Blocking Rules** (2024 enforcement) $1M penalties per violation. MAGICs interoperability governance (FHIR-native) directly addresses information blocking compliance.

Window: 2026-2028 is the compliance crunch. Organizations that dont have AI governance in place face regulatory action.

---

2. Constraints

```
MUST:     Cite verifiable data source for market sizin
```

```
MUST:     Name specific competitors  never use "others" or "competitors"
MUST NOT: Present TAM as revenue projection  TAM  revenue
```

MARKET | CANON | COMPLIANCE